

Fundamentals of Management

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Chapter - Creating and Managing Teams

LEARNING OBJECTIVES

- Defining groups and teams
- Stages of group/team development
- Factors influencing team performance and satisfaction
- Identify types of work teams and their characteristics
- How organizations can turn individuals into effective team players
- How to build and manage effective teams
- Recognize challenges in team management and contemporary trends

Groups — Definition & Types

- **Group:** Two or more interacting and interdependent individuals who come together to achieve particular objectives
- **Formal group vs Informal group**
 - Formal: created by organization (roles, tasks)
 - Informal: arises from social interactions

Types of Formal Work Groups

- Command groups (structure-based, subordinates to a manager)
- Task groups (formed for specific tasks)
- Cross-functional teams
- Self-managed teams

Command Groups

- **Command groups** also called **functional group** consist of a **manager and the employees who report directly to them**. They are **dictated by the formal organizational hierarchy**.
- **Key Characteristics:**
 - Permanent in nature
 - Work under clear authority structure
 - Have ongoing tasks that align with organizational goals
 - Common in traditional hierarchical organizations
- **Purpose:**

To carry out ongoing activities and ensure efficient day-to-day operations. They focus more on administrative control than innovation.

Task Groups

Task groups are **formed to complete a specific task or project**. The group is dissolved once the task is completed. Also called **project teams** (if temporary)

- **Key Characteristics:**

- Temporary or short-term in many cases
- Members can come from various departments (cross-functional)
- Focused, goal-oriented work with clear timelines
- Not limited by command hierarchy

- **Purpose:**

To bring diverse expertise together to solve a specific issue, innovate, or complete a defined task.

Cross-Functional Teams

- Cross-functional teams are made up of **individuals from different departments or functional areas**, brought together to accomplish a particular task or project.
 - **Key Characteristics:**
 - Usually temporary
 - Encourages sharing of knowledge and ideas across departments
 - Members report to their functional manager but work together on team goals
 - Can be challenging due to different professional backgrounds and communication styles
 - **Purpose:**
To foster collaboration across organizational boundaries and improve innovation, problem-solving.

Self-Managed Teams

- Self-managed teams operate **without a manager**. They are given **authority and responsibility** for managing themselves and completing tasks. Also referred to as **autonomous work teams**

Key Characteristics:

- Team members handle roles such as scheduling, planning, hiring, and performance evaluation
- Empowered to make decisions collectively
- Typically have higher motivation and job satisfaction
- Require high trust, collaboration, and training

Purpose:

To increase autonomy and accountability, reduce managerial layers, and improve efficiency and engagement

Types of Formal Work Groups

Type	Definition	Duration	Example
Command Group	Manager + subordinates (hierarchical)	Permanent	Sales Manager and team
Task Group	Group formed for a specific task	Temporary	IT system upgrade team
Cross-Functional	Members from multiple departments	Often temp	Product launch team
Self-Managed Team	Operates without direct supervision, self-led	Varies	Autonomous production team

Teams

- **Team:** A special type of group whose members work intensely toward a common goal, with mutual accountability and complementary skills.
- Comparison (Groups vs Teams) — leadership, accountability, nature of work, purpose, decision-making style, etc.

Groups vs Teams

Feature	Group	Team
Purpose	May share information or help each other	Collective work toward shared performance goals
Synergy	Often neutral	Positive synergy possible
Accountability	Mostly individual	Individual + mutual/team accountability
Skills	Varies	Complementary, well-balanced

Stages of Group Development

1. **Forming**
 - Members orient, get to know each other, define the group's purpose & boundaries
 - Uncertainty is high
2. **Storming**
 - Conflict over roles, leadership, power, direction
 - Friction & tension likely
3. **Norming**
 - Norms, cohesion, trust emerge
 - Conflict declines; shared expectations arise
4. **Performing**
 - Focus on task accomplishment, collaboration, high performance
 - Roles more fluid; high interdependence
5. **Adjourning** (for temporary groups)
 - Disbanding, closure, reflection, recognition

Model of Group Performance & Satisfaction

- External conditions (strategy, rules, resources, selection)
- Member resources (knowledge, skills, personality)
- Group structure (roles, norms, status, size, cohesiveness)
- Group process (communication, decision making, conflict)
- Outcomes: performance & member satisfaction

Group Structure Elements

- Roles: task vs maintenance roles
- Norms: expectations & standards
- Conformity / groupthink risks
- Status systems
- Group size, social loafing

Group Processes — Communication, Decision Making & Conflict

- **Communication**

- Formal and informal communication channels
- Barriers: noise, filtering, selective perception, emotional interference
- Effective communication is essential for team functioning

- **Decision Making in Groups**

- Advantages: more information, different perspectives, shared ownership
- Disadvantages: groupthink, domination, time-consuming
- Techniques: brainstorming, nominal group technique, Delphi method

- **Conflict:** process where one party perceives its interests are opposed by another

Types of Conflict

- **Task conflict:** disagreements about tasks, goals, procedures
- **Relationship conflict:** interpersonal issues, emotional tension
- **Process conflict:** disagreements over how work should be done

- **Views of Conflict**
 - Traditional: conflict is bad and should be avoided
 - Human relations: conflict is natural and inevitable
 - Interactionist: some conflict is necessary for group growth & innovation

- **Functional vs Dysfunctional Conflict**
 - Functional: supports group goals, improves performance
 - Dysfunctional: hinders performance, creates tension

- **Conflict-Handling Styles**
 - Avoiding, Accommodating, Forcing, Compromising, Integrating (collaborating)

Types of Teams

- Problem-solving teams
- Self-managed teams
- Cross-functional teams
- Virtual teams

Team Effectiveness & Design

- Conditions for effectiveness (clear goal, well-chosen members, support, resources)
- Team design: autonomy, variety, identity, significance
- Team processes: establishing common purpose, goals, mental models, conflict management, accountability

Motivating Teams

- Intrinsic vs extrinsic motivators in teams
- Aligning individual goals with team goals
- Reward systems: individual & team-based rewards
- Recognition, feedback, growth opportunities

Sustaining Team Performance

- Team coaching & leadership
- Monitoring & feedback
- Addressing team dysfunctions (e.g. social loafing, conflict)
- Team learning & continuous improvement

Challenges in Team Management

- Cultural & diversity issues
- Virtual / remote teams
- Power, politics & inter-team conflict
- Change & adaptation

Why Do Organizations Use Teams?

Benefits of Working in Teams

Benefit	Explanation	Example
1. Teamwork = Better Results (Synergy)	When people work together, they can achieve more than working alone.	A sports team can win games better by passing and playing together than one player doing everything.
2. More Ideas & Better Decisions	People from different backgrounds bring different viewpoints and ideas.	A marketing team includes creative, sales, and finance minds—leading to better advertising plans.
3. More Creativity & Innovation	Team members can build on each other's ideas to create something new.	A design team invents a cool new phone feature by combining ideas.
4. Flexibility & Quick Reactions	Teams can adjust to changes more easily than individuals.	A team can quickly shift plans if a product fails during testing.
5. Increases Motivation & Ownership	Working in a team can make people feel involved and important.	Employees are more excited when their ideas are used in team projects.

Why Do Organizations Use Teams?

Challenges or Problems in Teams

Problem	Explanation	Example
1. Social Loafing (Free Riding)	Some people don't work hard because they rely on others.	One student in a group project does nothing but gets the same grade.
2. Conflicts & Hard to Coordinate	People may argue or misunderstand each other; managing a team takes effort.	Two teammates argue about who should be leader or which plan is better.
3. Groupthink (Too Much Agreement)	The team avoids disagreement to keep peace, even if the idea is bad.	No one speaks up when they see a mistake because they don't want to upset others.
4. Takes More Time	Making decisions in a team takes longer than one person deciding.	A team meeting runs for hours just to agree on a small detail.

Turning Groups into Effective Teams — Best Practices

Clear direction & purpose

- A compelling mission, understandable goals, alignment

Right team size and composition

- Balance of skills, personalities, diversity

Supportive organizational context

- Resources, information, rewards, managerial support

Appropriate team structure & autonomy

- Level of decision-making freedom, flexible roles

Strong team processes & norms

- Trust, open communication, shared mental models

Strong leadership / team coaching

- Encouragement, facilitation, removal of obstacles

Accountability & evaluation

- Individual & group performance metrics, feedback

Barriers & Challenges to Effective Teams

- Lack of training or guidance (teams launched without support)
- Poor or unclear empowerment
- Inadequate resources or authority
- Conflicting goals (team vs individual)
- Social loafing / free riding
- Poor coordination, ambiguous roles
- Dysfunctional norms or groupthink
- Conflict avoidance or mismanaged conflict
- Virtual team issues: trust, communication delays, cultural differences

Motivating Team Members & Overcoming Social Loafing

- **Social Loafing**
- The tendency for some individuals to exert less effort when in a group than individually
- **Social Facilitation**
- The opposite: performance improves in the presence of others
- **How to reduce social loafing / increase motivation**
- Make individual contributions visible
- Use smaller teams
- Rotate roles
- Offer meaningful rewards (mix of individual and team rewards)
- Use peer evaluation / mutual accountability
- Cultivate commitment to team goals

Intrinsic & Extrinsic Motivation in Teams

- Intrinsic: autonomy, mastery, purpose
- Extrinsic: financial rewards, recognition, status
- Align individual goals with team goals

Skills for Managing & Leading Teams

- **Facilitate rather than direct:** act as coach, remove obstacles
- **Promote psychological safety:** allow members to speak up, admit errors
- **Encourage open and honest communication**
- **Manage conflict constructively**
- **Monitor performance and provide feedback**
- **Encourage team learning and reflection** (after-action reviews)
- **Adapt to changes** (membership, tasks, environment)

Cross-Team & Interdependence Issues

- Teams don't work in isolation. Key challenges and strategies:
- **Interdependence Types**
 - Pooled, sequential, reciprocal interdependence
- **Boundary Spanning**
 - Roles that connect teams to external groups (liaisons, integrators)
- **Inter-team Conflict**
 - Competing goals, resource constraints, turf wars
- **Managing Inter-team Relations**
 - Shared goals, cross-team meetings, joint reward systems, liaison roles

Virtual / Global Teams — Special Considerations

- Because many teams are now global or virtual, Robbins (14th ed) highlights:
- **Advantages**
 - Access to diverse skills, global reach
 - Flexibility, lower travel costs, around-the-clock work
- **Challenges**
 - Building trust across distance and culture
 - Communication lags, lack of nonverbal cues
 - Time-zone differences, coordination difficulties
 - Cultural, linguistic differences, conflict styles
- **Best Practices for Virtual / Global Teams**
 - Use rich communication channels wisely
 - Establish clear protocols, regular check-ins
 - Invest in team building & trust
 - Clarify roles, goals, and norms explicitly
 - Overcommunicate expectations

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- ANY QUESTIONS????

